TABLE 2.6 Rates futures

Name	Point value	Unit	Currency	Exchange
AU 10Y	1,000	Bond price	AUD	ASX
AU 3Y	1,000	Bond price	AUD	ASX
AU 90 Day	2,500	Price	AUD	ASX
Bobl	1,000	Bond price	EUR	Euronext
Bund	1,000	Bond price	EUR	Euronext
CD 10Y	1,000	Bond price	CAD	ME
CD 90 Day	2,500	Price	CAD	ME
Euribor	2,500	1 million EUR	EUR	Euronext
Euroswiss	2,500	1 million CHF	CHF	Euronext
JP 10Y	1,000	Bond price	JPY	TSE
Long gilt	1,000	Bond price	GBP	Euronext
Schatz	1,000	Bond price	EUR	Euronext
Short sterling	1,250	£500,000	GBP	Euronext
US 10Y	1,000	Bond price	USD	CME
US 2Y	2,000	Bond price	USD	CME
US 5Y	1,000	Bond price	USD	CME

The contract value of bond futures is normally 100,000 of the currency in question, although as the pricing is in percentage terms, this need to be divided by 100 to arrive at the most common point value for bond futures of 1,000. As a futures trader, the point value is always more important for you to know than the actual contract value. They may often be the same but when they differ, focus on the point value.

Bond futures as a group have a fairly low level of volatility; however, the longer durations always have a greater volatility than the shorter ones. The longer ones have a higher sensitivity to changes in interest rates and the prices will move much quicker. They are still slower than most other sectors, but there is a very large difference in volatility between a 10-year note and a 2-year note.